HIKARI TSUSHIN INC HKTGF

August 04, 2026 - 11:27am EST
by xds68

			2026	2027
Price:	39,050.00	EPS	0	0
Shares Out. (in M):	44	P/E	0	0
Market Cap (in $M):	10,902	P/FCF	0	0
Net Debt (in $M):	3,456	EBIT	0	0
TEV (in $M):	0	TEV/EBIT	0	0

Description

Hikari Tsushin

Hikari Tsushin is a mid-sized Japanese conglomerate, that has compounded shareholder equity for 17% over the last fifteen years. The stock is down modestly over the last year, even as the company grew equity 30% for the fiscal year ended March, with the accretion roughly split between operating income and investment gains.

Hikari has a deeply ingrained culture of disciplined capital deployment. The company maintains an internal IRR hurdle of 30% evaluated over 5 years. To clear that hurdle projects must achieve full cash on cash payback over three years, followed by future compounding. The company adopted this approach in 2010 after a near business collapse in the wake of the dot-com crisis. In the subsequent years the company reduced debt and its workforce, and its founder, Yasumitsu Shigeta studied Berkshire and other successful capital allocation models. Since 2010 the company has stringently and successfully applied its ROI framework.

Hikari has both consolidated and operated businesses, which represent about a third of its value, and it buys large positions in deeply discounted Japanese (and occasionally US) securities. Both strategies have been important to compounding shareholder equity. Over the last year the company's consolidated businesses have performed in line with historical averages, while the investment portfolio has lagged somewhat. The company does not own the chip and other direct AI beneficiaries that have driven the Nikkei to new highs, but rather a mix of asset light, service-oriented businesses.

Hikari trades at roughly a 19% discount to what I think is a conservatively estimated sum of the parts. I think that's a reasonable entry price for a well-managed and diversified long term capital compounder.

Sum of parts summary

Owned and operated businesses: $880 billion yen, or $5.6 billion USD

Public Investments: $1.6 trillion yen or $10.2 billion US at public market value

Debt: $1,100 billion yen gross, $500 billion yen net, or $3.2 billion USD.

Net Asset Value: $2.1 trillion yen, or $13.3 billion USD

Current market cap: $1.7 Trillion Yen, or $10.8 billion USD

Current discount: 19%

Hikari's owned and operated businesses:

Electricity & Gas:

This is an asset light reseller of electricity and gas to Japanese SMEs and individuals. This is a low barrier to entry marketing business, but Hikari is one of the three largest providers, and an opportunistic acquiror of smaller players, particularly those in financial distress. The company also markets its services through an affiliated real estate business. The business sells high and low voltage electricity, with most of the low voltage marketed to consumers via partnerships with brokers and real estate property management companies.

When a tenant signs a lease for a new apartment or business the real estate broker typically arranges for power service. Hikari pays those brokers a small commission to use its services. The company also white labels electrical service for large real estate owners, who can bundle the service into rents. These are somewhat unique marketing channels that have created a sustainable niche for Hikari in a competitive market. Even with that though, the business is characterized by high churn and ongoing marketing outreach, with estimated monthly churn of 2%.

Hikari has steadily grown this business over time, although the most recent fiscal year was below trend with 1% operating profit growth on 10% sales growth. Hikari also reports 'recurring' operating profit, which is prior to customer acquisition costs – that was 12% for the most recent fiscal year. Competition intensified in parts of the business last year, leading to the higher CAC. For fiscal 2026 the business generated $36 billion yen in operating profit, or $220 million USD. Hikari forecasts a substantial marketing push in this business in the retail / real estate linked channel which it expects to drive strong sales growth.

This business is similar to retail energy providers in the US (REPS) like Genie Energy, although Hikari's growth has been far better, its churn is far lower (Genie's customers churn at roughly 6% per month) and I think its real estate linked distribution model is superior. Genie trades at roughly 6x EBIT. Reflecting Hikari's higher quality with an 8x multiple on fiscal 2027 (ending March '27) operating income estimate of $40 billion yen indicates a value of $320 billion yen or $2 billion US for this division.

Telecommunications:

This is Hikari's foundational business, which is an asset light, MVNO reseller of mobile telecom, as well as fixed line and internet service. The company buys bulk network capacity from major Japanese carriers, then rebrands and sells it to small businesses. They also maintain a retail network to market services to individuals, receiving a share of monthly billing in exchange for sales. Comps would be Mint Mobile, which was acquired by T-Mobile for an estimated 8-10x EBITDA and TracFone, acquired by Verizon for 6-7x EBITDA. Conservatively applying a multiple of 7x to Hikari's estimated fiscal 2028 operating income (March '27 YE) of $33 billion for this business implies fair value of $230 billion yen, or $1.46 billion USD. Note that I'm using operating income for Hikari while the US comp is EBITDA, so in effect I'm using a more conservative multiple.

Other businesses:

Hikari owns several smaller businesses: water distribution $10 billion yen operating profit, phone and appliance insurance $8 billion yen operating profit, small business finance $22 billion yen operating profit, a small CRM and payments software business $3 billion yen operating income, and a general ‘commissions-based sales” business which sells office equipment, insurance, and mobile phones on behalf of other manufacturers $10 billion yen operating profit. Together these businesses generated roughly $50 billion yen of operating profit and are projected to earn roughly $55 billion for fiscal 2027. Conservatively applying a multiple of 6x operating income implies a value of $330 billion yen, or $2.1 billion USD.

I’d note that many of the smaller businesses, insurance in particular, are growing nicely, and Hikari’s management thinks will become larger contributors to enterprise earnings over time. The insurance business has a certain amount of business overlap with phone distribution as an insurer of phones, and its broadening its reach into other appliances.

Adding the three business categories implies a value of owned businesses of $670 billion yen, or $4 billion USD.

Investment portfolio:

Roughly $1.6 trillion yen or $10.2 billion US at public market value

Hikari’s investment portfolio contains a number of US securities, the largest of which are: Berkshire $800 million, Alphabet $160 million, Visa $30 million, and a number of other blue chip stocks totaling roughly $1.5 billion.

The company’s Japanese portfolio includes $400 million in Daito Trust Construction, which constructs and manages residential real estate, $125 million in FT Group, direct seller of IT equipment (this is a 57% holding so consolidated in financial statement), $20 million in Ebara Jitsugyo, a manufacturer of water treatment plants and air pollution systems. In total Hikari lists 42 listed Japanese investments. The total value of these holdings is roughly $1.3 trillion yen, or $8.7 billion US, which in combination with US holdings, approximates $10.2 billion in investments.

Other notes:

Hikari is constrained by Japanese listing rules on share repurchases. The Toyko Stock Exchange requires that free floating shares must be 35% of the total outstanding shares. Hikari has 44 million shares, and its current free float is 17 million shares, meaning it can only buy back about 2 million shares before hitting the threshold. At that point, further capital return will likely have to come in the form of dividends unless Yasumitshu Shigeta, the founder and largest shareholder, agrees to sell some of his holding to the company. So far, he has been unwilling to do so at current prices.

I do not hold a position with the issuer such as employment, directorship, or consultancy.
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Catalyst

Time...

Messages

Subject	Correct multiple for the operating businesses + management upside optionality
Entry	08/04/2026 02:23 PM
Member	apoatifar

What do you think the correct multiple for the operating businesses is? You've effectively valued it at a 6.7x NTM EBIT multiple (880/130 (guided EBIT for next year)). I would probably say something along the lines of 11-12x is more fair given the returns on capital and growth profile of those businesses. If you use 12x, you have 50% upside.

Another question I have is whether you have a view on the % of 'NAV' that this should trade for. Management has consistently been able to spawn decent businesses and believe they may do so in the future (asset management, software sales). What are your thoughts on this? The other piece of this idea which I quite like is the downside protection the investment portfolio provides. Even if you value the operating businesses at 0, you only have ~30% downside.

Subject	Portfolio Value
Entry	08/04/2026 04:45 PM
Member	apoatifar

Just came to mind but how are you getting your portfolio value number? As of the most recent Q the value fo their investment holdings was 1.47T yen

Fiscal Year Ended March 2026

Investment Holdings Performance

Pre-tax IRR was 18% over the last 9 years

(Management basis including equity-method affiliates)

(Billion JPY)

	22/3 Full year	23/3 Full year	24/3 Full year	25/3 Full-year	26/3 Full-year	YoY
Acquisition cost (A)	456.0	532.6	590.2	725.4	852.3	+17%
Unrealized gain (Pre-Tax)	162.0	226.6	411.1	444.6	624.1	+40%
Market Value	618.0	759.2	1,001.3	1,170.0	1,476.4	+26%
Look-through earnings (B) (last 12 months)	70.8	80.3	83.2	114.8	139.9	+21%
Earnings yield (B)÷(A)	15.5%	15.1%	14.1%	15.8%	16.3%	+3%
Dividend yield (based on acquisition cost, cash flow, and results for the last 12 months)	3.0%	3.4%	4.1%	3.9%	4.3%	+2%
Dividend income (P/L) (C)	13.5	17.9	22.7	27.6	33.6	+21%
Realized gain (Pre-Tax) (D)	7.7	15.1	55.9	50.1	67.7	+35%
Total (C)+(D)	21.3	33.1	78.7	77.8	101.4	+30%

* "Look-through earnings" is calculated by multiplying the operating profit of each of the companies we invested in by our ownership interest and summing the results.
* "Last 12 months" refers to the four quarters whose financial results were announced within the 12 months immediately preceding the record date.
* Earnings Yield is calculated by dividing look-through earnings by acquisition cost.

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Subject	Re: Portfolio Value
Entry	08/04/2026 09:12 PM
Member	xds68

On the securities I just asked Gemini to value the holdings at current market - and given 3/31 was close to YTD lows it makes sense it would be up somewhat. If we use the 3/31 number it lowers my NAV calculation 7%.

On the multiples, I think that’s tough. I take your point, but will the market ever ascribe those multiples to these businesses? They’re optically pretty ‘meh’ businesses that the company has operated well. So I don’t know that we get paid here through multiple expansion, I’d guess it’s the steady compounding of equity over time. But I’d be happy to be wrong!